

Appendix 2

In this Appendix underlining indicates new text and striking through indicates deleted text.

Some text that is not being amended is included for information only.



The DFSA Rulebook

Conduct of Business Module

(COB)

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2 CLIENT CLASSIFICATION

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'Assessed' Professional Clients

Individuals

- 2.3.7** (1) For the purposes of Rule 2.3.3(1)(a)(iii), an individual is an 'assessed' Professional Client if:
- (a) the individual has net assets of at least \$1 million calculated in accordance with Rule 2.4.2; and

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Assessment of net assets

- 2.4.2** An Authorised Firm, when calculating net assets of an individual for the purposes of the requirement under Rule 2.3.7(1)(a):
- (a) must exclude the value of the primary residence of that Person; and
 - (b) ~~must exclude Crypto Tokens belonging to that Person that are not Recognised Crypto Tokens;~~
 - (c) ~~must include only 33% of the market value of Recognised Crypto Tokens belonging to the Person; and~~
 - (d) may include any other assets held directly or indirectly by that Person.

Guidance

1. The reference to "assets held directly or indirectly" is designed to include assets held by direct legal ownership, by beneficial ownership (for example, as a beneficiary in a trust), or by both legal and beneficial ownership. Such assets may be held, for instance, through a special purpose or personal investment vehicle, a foundation, or the like. Similarly, any real property held subject to an Islamic mortgage, where the lender has the legal title to the property, may be counted as indirectly held property of a Client, less the amount owing on the mortgage, where it is not a primary residence.
2. As the test is to determine the net assets (not gross assets) of an individual, any mortgages or other charges held over the property to secure any indebtedness of the individual should be deducted from the value of the assets.
3. An individual's primary residence is excluded from the calculation of their net assets. If an individual who is an expatriate has a primary residence in his home country, such a residence should not generally be counted for the purposes of meeting the net asset

test, particularly if the current residence in their host country is rented. However, if the current residence in the host country is owned by the individual, then that may be treated as their primary residence and the value of the residence in the home country of the individual may be counted for the purposes of meeting the net asset test, provided there is sufficient evidence of ownership and an objective valuation of the relevant premises.

4. An Authorised Firm should be able to demonstrate that it has objective evidence of the ownership and valuation of any assets taken into account for the purposes of meeting the net asset test.

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9 ADDITIONAL RULES: OPERATING AN ALTERNATIVE TRADING SYSTEM

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9.4 Investment criteria

9.4.1 An ATS Operator must ensure in respect of every Investment or Crypto Token traded on its facility that:

- (a) only Investments which meet the requirements in (i), (ii), (iv) or (v) or Crypto Tokens which meet the requirements in (iii) are traded on its facility:
 - (i) in the case of Securities, the Securities are admitted to trading on an Authorised Market Institution or other Regulated Exchange;
 - (ii) in the case of Security Tokens that do not meet the criteria in (i):
 - (A) there is a current Approved Prospectus relating to the Security Tokens;
 - (B) the ATS Operator has taken adequate steps before admitting the Security Tokens to trading, to satisfy itself that both the Security Tokens and the relevant Reporting Entity meet the general eligibility requirements in MKT section 9.3; and
 - (C) the ATS Operator has adequate systems and controls in place to effectively monitor and enforce a Reporting Entity's compliance with the requirements in MKT Chapter 9B;
 - (iii) in the case of a Crypto Token, it is a **Recognised Suitable** Crypto Token;
 - (iv) in the case of a Crypto Token Derivative:
 - (A) it relates to a **Recognised Suitable** Crypto Token; and
 - (B) the Derivative contract meets the contract specification criteria set out in AMI Rule 6.3.2; or

- (v) in the case of Derivatives (other than Crypto Token Derivatives), the instruments meet the contract specification criteria set out in AMI Rule 6.3.2;
- (b) there is sufficient information relating to the Investments or Crypto Tokens traded on the facility available to members and other Persons having access to the facility through such members to enable such Persons to make informed decisions relating to such Investments or Crypto Tokens; and
- (c) if it is an Investment that references to an underlying benchmark or index provided by a Price Information Provider, the requirements in Rule 9.4.2 are met.

Guidance

1. A Reporting Entity of Security Tokens that are admitted to trading by an ATS Operator under Rule 9.4.1(a)(ii) will be subject to the requirements imposed on Reporting Entities in MKT. An ATS Operator should therefore assess whether a prospective Reporting Entity is capable of meeting those requirements before admitting its Security Tokens to trading.
2. There is no Reporting Entity for a Crypto Token and, as a Crypto Token cannot be admitted to the Official List, the MKT requirements for Listing do not apply. Instead, GEN Rule 3A.2.1 requires a Crypto Token to be a Recognised Suitable Crypto Token before it can be offered to the public, promoted or the subject of any Financial Service in the DIFC. This will include it being traded on a MTF. ~~A Crypto Token may be recognised where the DFSA is satisfied that specified criteria in GEN section 3A are met.~~
3. Crypto Token Derivatives (i.e. Derivatives relating to Crypto Tokens) are Investments. An Authorised Firm trading a Crypto Token Derivative is therefore required to comply with requirements such as ensuring the Derivative contracts meet the contract design specifications in AMI Rule 6.3.2 and, if the value of the Derivative is determined by reference to a benchmark or index, ensuring the Price Information Provider meets the requirements in Rule 9.4.2. In addition, under Rule 9.4.1 and GEN section 3A, any underlying Crypto Token to which the Derivative relates is required to be a Recognised Suitable Crypto Token and, if the Derivative relates to an index, the index may contain only Recognised Suitable Crypto Tokens.

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Clearing and settlement arrangements

- 9.6.11** (1) An ATS Operator must:
- (a) ensure that there are satisfactory arrangements in place for securing the timely discharge of the rights and liabilities of the parties to transactions conducted on or through its facility; and
 - (b) inform its members and other Persons having access to its facility through members of details relating to such arrangements.
- (2) For the purposes of (1)(a), an ATS Operator must ensure that:

- (a) the Person who provides clearing and settlement services to a member is either:
 - (i) an Authorised Person appropriately licensed to carry on clearing or settlement services; or
 - (ii) an entity which is authorised and supervised by a Financial Services Regulator acceptable to the DFSA for the activity of clearing and settlement services and is operating under broadly equivalent standards as defined under Chapter 7 of the AMI module; and
- (b) notification of such arrangements (including any changes thereto) is provided to the DFSA at least 30 days before making the arrangements and the DFSA has not objected to such arrangements within that period.
- (3) An ATS Operator of a MTF that trades Crypto Tokens must ensure that clearing and settlement of transactions on the MTF takes place only by means of fiat currencies or Fiat Crypto Tokens that are Recognised Suitable Crypto Tokens.

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14.4 Provision of key features document for Investment Tokens

Application

14.4.1 This section applies to an Authorised Firm which carries on any one or more of the following Financial Services in respect of Investment Tokens:

- (a) Dealing in Investments as Principal;
- (b) Dealing in Investments as Agent;
- (c) Arranging Deals in Investments;
- (d) Managing Assets; or
- (e) Advising on Financial Products;
- (f) ~~Providing Custody; or~~
- (g) ~~Arranging Custody.~~

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15 ADDITIONAL REQUIREMENTS FOR FIRMS PROVIDING FINANCIAL SERVICES RELATING TO CRYPTO TOKENS

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15.4.3 An MTF Operator that appoints a Third Party Digital Wallet Service Provider to Provide Custody of Crypto Tokens must ensure that the person is either:

- (a) an Authorised Firm permitted to be a Digital Wallet Service Provider; or
- (b) a firm that is regulated by a Financial Services Regulator in a Recognised Jurisdiction.

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15.5.1 (1) An Authorised Firm must not provide a Financial Service relating to a Crypto Token to a Person unless it has given the Person a key features document containing the information about the Crypto Token set out in Rule 15.3.1(2).

(2) The Authorised Firm must ensure that the information in the key features document is up to date.

(3) The key features document must be given in good time before the relevant Financial Service is provided to the Person, to enable that Person to make an informed decision about whether to use the service.

(4) The key features document does not need to be given to a Person to whom the Authorised Firm has previously provided that information, if there has been no significant change since the information was previously provided.

(5) An Authorised Firm may use a key features document prepared by another Person if it has taken reasonable steps to ensure that the information in that document is complete, accurate and up to date.

(6) If an Authorised Firm gives a Person a key features document prepared by another Person, the Authorised Firm remains legally accountable to the Person to whom it is given for the content of the document.

(7) This Rule does not apply to an Authorised Firm that:

- (a) Operates a MTF that trades Crypto Tokens;
- (b) Provides Custody in respect of Crypto Tokens; or
- (c) Arranges Custody in respect of Crypto Tokens.

Guidance

Rule 15.5.1 does not apply to an MTF Operator, as the MTF Operator is separately required under Rule 15.3.1 to publish a key features document before the relevant Crypto Token is traded on the MTF.

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15.6.9 An Authorised Firm must ensure that only fiat currencies or Fiat Crypto Tokens that are ~~Recognised~~ Suitable Crypto Tokens are used as Margin in connection with trading in Crypto Token Derivatives.

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A6.5 Holding or arranging custody with third party agents

- A6.5.1** (1) Before an Authorised Firm holds a Safe Custody Investment or Safe Custody Crypto Token with a Third Party Agent, it must undertake an assessment of that Third Party Agent and have concluded on reasonable grounds, having regard to the matters in Rule A6.5.3 and any other relevant matters, that the Third Party Agent is suitable to hold those Safe Custody Investments or Safe Custody Crypto Tokens.
- (2) An Authorised Firm must periodically review its assessment under (1), at appropriate intervals.
- (3) When assessing the suitability of the Third Party Agent, the Authorised Firm must ensure that the Third Party Agent will provide protections equivalent to the protections conferred in this appendix.
- A6.5.2** (1) Before an Authorised Firm arranges custody with a non-DIFC custodian authorised and supervised by a Financial Services Regulator, it must undertake an assessment of that custodian and have concluded, on reasonable grounds, having regard to the matters in Rule A6.5.3 and any other relevant matters, that it is suitable to hold the Safe Custody Investments or Safe Custody Crypto Tokens.
- (2) When assessing the suitability of a non-DIFC custodian, the Authorised Firm must ensure that the non-DIFC custodian will provide protections equivalent to the protections conferred in this appendix.

Guidance

As a consequence of GEN Rule 2.14.2(b), the reference to non-DIFC custodian in Rule A6.5.2 includes a non-DIFC custodian that is part of the same legal entity as the Authorised Firm (i.e. where the custodian is the Authorised Firm's head office or another branch of the Authorised Firm outside the DIFC).

- A6.5.3** (1) The matters referred to in Rules A6.5.1(1) and A6.5.2(1) are:
- (a) the regulatory status and history of the Third Party Agent or the non-DIFC custodian;
 - (b) the creditworthiness of the Third Party Agent or the non-DIFC custodian;
 - (c) the capital position of the Third Party Agent or the non-DIFC custodian;
 - (d) the amount of Client Investments or Client Crypto Tokens placed, relative to the Third Party Agent's or the non-DIFC custodian's regulatory capital resources;
 - (e) the insolvency regime of the jurisdiction in which the Third Party Agent or the non-DIFC custodian is located;

- (f) the Group structure of the Third Party Agent or the non-DIFC custodian;
 - (g) the Third Party Agent's or the non-DIFC custodian's use of agents and service providers; and
 - (h) any other activities of the Third Party Agent or the non-DIFC custodian.
- (2) In addition to the matters in (1), when assessing the suitability of a Third Party Agent to hold Safe Custody Crypto Tokens, an Authorised Firm must have regard to the following matters:
- (a) whether the Third Party Agent is authorised and supervised by a Financial Services Regulator to provide custody of Crypto Tokens;
 - (b) the Third Party Agent's policies and procedures for the storage of Crypto Tokens, including the type of storage, safety of the keys and the measures put in place to protect the keys from hacking, theft or fraud; and
 - (c) the robustness of the Third Party Agent's custodial technologies.

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